



Reserve Bank
of New Zealand
Te Pūtea Matua

Transmission currents and the flow of monetary policy to financial conditions

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A speech delivered to the 2025 Commonwealth Bank Global Markets Conference in Sydney, Australia on Wednesday 29 October 2025¹

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¹ With thanks to Finn Robinson and Chris Stephens who co-authored this speech with me.

Good morning. Thanks for the opportunity to speak at this year's CBA Global Markets conference.

As you'll all be aware, our Monetary Policy Committee (MPC) has cut the Official Cash Rate (OCR) by 300 basis points to 2.5 percent since August 2024.

Today I want to talk to you about the transmission of these cuts, via New Zealand financial markets, to domestic financial conditions. About a year ago, our Assistant Governor, Karen Silk, kicked the tyres on how our most recent hiking cycle had transmitted through to the borrowing rates faced by businesses and households.¹ We are now more than a year into the interest rate cutting cycle and it seems like an apt time to check in on transmission once again. I will explore three themes relating to the transmission of monetary policy to financial conditions:

1. Transmission to financial markets is playing out largely as expected. But as with any cycle, there are some unique features that we have had to take account of when assessing the stance of monetary policy.
2. The cash flow channel is an important and very visible part of monetary policy transmission. However, other channels of transmission potentially play a more important role.
3. International factors are a major factor influencing New Zealand's financial conditions. But in the end, we have the tools to set domestic monetary policy where it needs to be to ensure price stability.

The anatomy of a retail rate

Monetary policy works, at its core, by moving interest rates faced by businesses and households. When we raise or lower the OCR, it changes the price of credit, which alters saving and investment decisions. Households bring spending forward or push it back, firms adjust investment plans. Those shifts in demand flow through to inflation over time. We call this the intertemporal substitution channel of monetary policy.²

For most New Zealand households, mortgage and deposit rates are the most significant interest rates affecting their finances. Given their central role in shaping financial conditions in New Zealand, this speech will place particular emphasis on the transmission of monetary policy via mortgage rates, but this doesn't mean we should downplay the importance of deposit rates.

Relatively short-term fixed mortgage rates are very popular in New Zealand, so a two-year mortgage rate is a good, practical yardstick when we think about how changes in the OCR are filtering through to mortgage-holding households.

Before we dive into the detail, bear with me for a moment as I sketch a deliberately simplified model that we use at the RBNZ to help us understand how a change in the OCR may be transmitting through to the 2-year mortgage rate and how other developments in domestic financial conditions may impact this transmission. I know this is bread-and-butter for most of you in this room, but it's useful to have a common framework to help anchor the discussion.

There are three component parts to our 2-year mortgage rate model:

1. The wholesale rate. For a 2-year mortgage we use the 2-year swap rate, which generally reflects market expectations for the OCR over the next two years plus a small market risk premium.

¹ See [Silk \(2024,a\)](#)

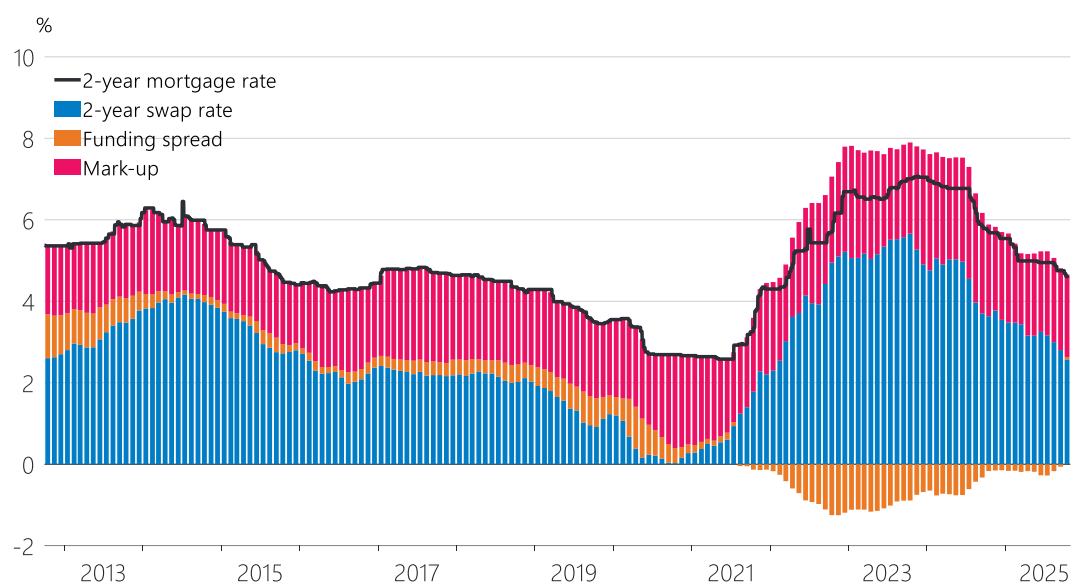
² There are other transmission channels, which are explained in the RBNZ's [Monetary Policy Handbook](#).

2. The size of funding spreads, which is the gap between banks' retail/wholesale funding costs and wholesale rates, capturing credit and liquidity premia.
3. A residual or mark-up. This is the difference between the 2-year mortgage rate and the prior two components. This broadly reflects banks' gross profit on mortgages.

As shown in figure 1, movements in the 2-year swap rate (in blue) tend to be the principal determinant of changes in the 2-year mortgage rate.

This reflects that most of the movement in mortgage rates is driven by expectations of future short-term interest rates.

Figure 1: Decomposition of the 2-year mortgage rate



Source: RBNZ, Bloomberg. Data as at October 2025.

In contrast, changes in the size of funding spreads (in orange) and the residual 'mark-up' (in pink) have historically had a much smaller impact.

However, crisis periods tend to create exceptions to this rule. For example, we would expect the funding spread component to push mortgage rates higher than otherwise during periods like the Global Financial Crisis (GFC) and the onset of the pandemic, when global funding conditions deteriorated and wholesale spreads widened sharply.³

Furthermore, financial conditions can also be impacted by the policy response to such events. For instance, the lingering impact of the COVID-era fiscal expansion and monetary policy easing put downward pressure on funding spreads during the most recent interest rate tightening cycle. This resulted in less restrictive financial conditions for the same level of the OCR when compared with previous cycles, which the MPC then had to factor into its policy rate deliberations.⁴

With this simple model in place, let me move on to a few factors in monetary policy transmission that are unique to this easing cycle.

³ See [Cassino and Yao \(2011\)](#) for an overview of the New Zealand experience, and the Reserve Bank's emergency liquidity measures deployed during the GFC.

⁴ This is covered in more detail in [Silk \(2024,a\)](#) and [Wynands \(2024\)](#).

Keeping an eye on the cashflow channel

Marginal mortgage rates (and business and wholesale rates), like the one proxied by our 2-year mortgage model, are an important measure of some of the key channels through which monetary policy affects behaviour and ultimately the economy and inflation. In particular, the savings and investment, household wealth and the exchange rate channels are largely influenced by these marginal interest rates. Low interest rates today boost investment and spending, lower the exchange rate and increase asset prices and spending out of wealth.

While these transmission channels typically have the greatest influence on financial conditions and the wider economy, there are other channels of transmission that we closely monitor.

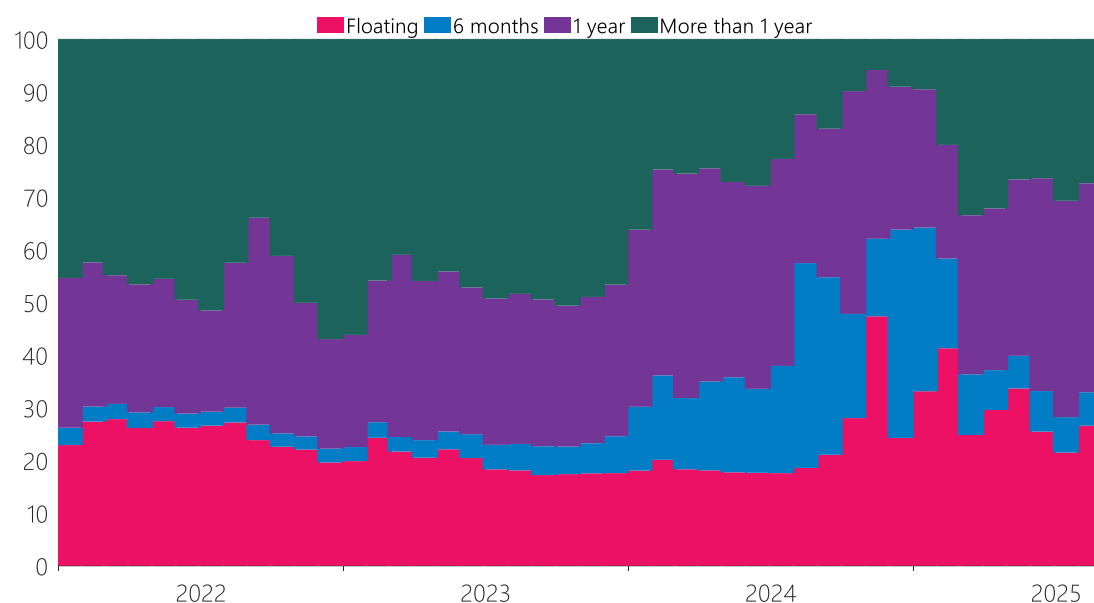
One of these channels is the cashflow channel. Unlike the intertemporal, exchange rate, or wealth channels, where marginal rates play a key role, the cashflow channel bites when changes in interest rates show up in household disposable incomes and business' finances. The cashflow channel is about timing and plumbing: when fixed-rate mortgages reset, when small-medium enterprises (SMEs) roll their loans, when hedges mature, when deposit rates are repriced, and when wholesale funding costs flow through product curves. Until these events occur, expected easing mostly lives on spreadsheets; after them, it exists in monthly cashflows. This is why the proportion of debt distributed across fixed versus floating rates, the pipeline of upcoming repricing, and banks' pass-through decisions influence the speed at which an OCR cut turns into real spending power for indebted households and working capital relief for businesses.

One recent factor shaping the cashflow channel in New Zealand has been the terms over which households choose to structure their mortgages. Historically, New Zealand mortgage holders have preferred to fix for terms of one to three years, with relatively little interest in shorter terms (including floating rates). However, from early 2024 preferences shifted to shorter terms in anticipation of falls in the OCR and mortgage rates. This shift is outlined in figure 2, which shows new mortgage lending volume by tenor.⁵ By November 2024, around 95% of new mortgage flows were directed towards terms of one year or less, with around 60% of these flows at six months or floating (shown by the blue and pink bars). Significantly for the cashflow channel, households were paying a premium to do this. Shorter-term rates were higher than longer-term rates because at that stage the mortgage curve was still inverted.

That meant, even though advertised rates were falling from December 2023, the average rate on the outstanding stock of mortgages didn't peak until November 2024. This is shown by the dashed purple line in figure 3. More recently, as the OCR has fallen further, borrowers have been willing to lock in for longer terms. Ongoing declines in advertised mortgage rates, plus a rising share of loans being repriced, have led to an easing in overall financial conditions at the margin. In short: because of the trend for short-term mortgages at higher rates, transmission through the cashflow channel was relatively slow in the early part of the easing cycle. It has now picked up, as many mortgage holders have repriced on to lower rates.

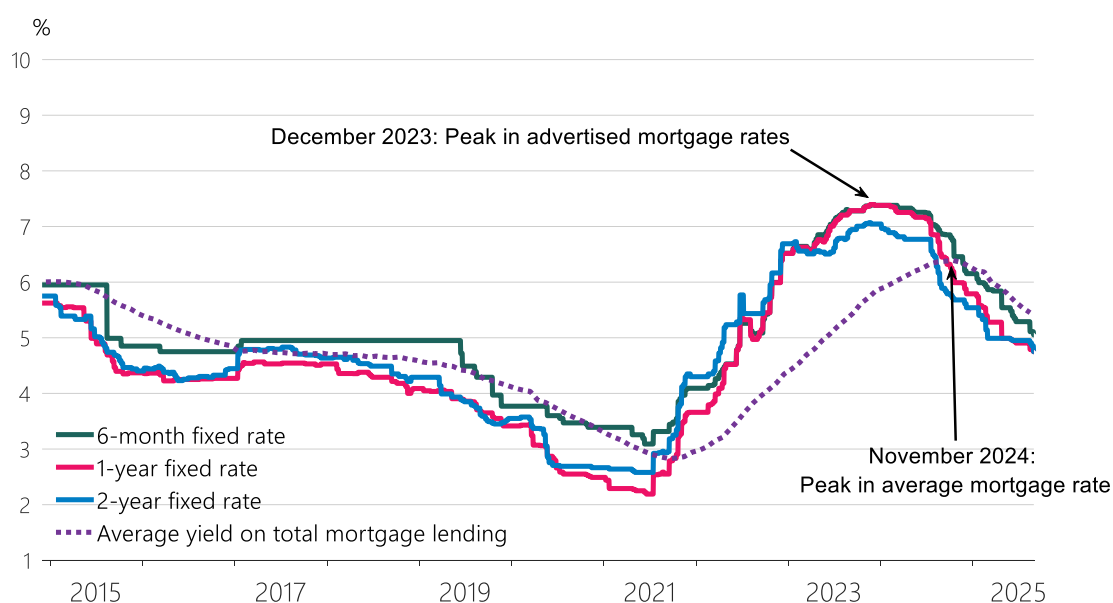
⁵ This excludes same bank refixing.

Figure 2. Proportion of new mortgage lending volume by tenor



Source: RBNZ. Data as at August 2025.

Figure 3. Advertised mortgage rates and average rate on the outstanding stock of mortgages



Source: Interest.co.nz, Bloomberg, RBNZ. Data as at August 2025.

These examples show how factors which sit outside of the RBNZ's monetary policy stance can influence financial conditions in New Zealand and may, at the margin, have implications for the outlook for inflation and therefore monetary policy. However, it's important to note that the MPC takes these factors into account when setting monetary policy, to achieve an overall level of domestic financial conditions that is deemed necessary to return inflation to the 2 percent target mid-point over the medium term. For example, to offset the lingering effects of COVID-era stimulus on financial conditions, the response can be as simple as keeping the OCR slightly higher than otherwise.

I should also note that in the RBNZ's frameworks, including the main macroeconomic model, NZSIM, the intertemporal substitution channel is more important than the cash flow channel.⁶ Changing the level of interest rates in the economy has a powerful effect on savings and investment behaviour and can be the difference between an investment project going ahead, a business taking on more staff, or a household making the decision to purchase a property. However, the influence of this intertemporal substitution channel is hard to directly observe in the data.

The cash flow channel is much easier to observe, given readily accessible data on mortgage and business lending, and deposit flows. It is also more tangible for households and businesses, who can directly see the cashflow channel in action as borrowing and savings roll onto new rates. When other factors, such as the change in mortgage fixing behaviour seen recently, impacts the speed of monetary policy transmission via the cashflow channel, this naturally leads to questions about the efficacy of monetary policy. In situations like these, it's worth remembering that monetary policy influences the economy through many channels, including intertemporal substitution, household wealth effects, the exchange rate, and inflation expectations. It's important that we account for all these and avoid overemphasising the influence of more observable factors like mortgage fixing behaviour, even while acknowledging their significance.

Trends in New Zealand financial markets must be interpreted in their global context

Global interconnectedness means New Zealand imports economic and financial conditions from overseas: shifts in overseas growth, inflation, risk appetite and policy settings quickly flow into our exchange rate, wholesale funding costs, and long-term yields.

Moves in global bond markets, changes in term premia, and fluctuations in global market volatility can tighten or loosen New Zealand financial conditions even when the OCR is unchanged. That's why we read our yield curve, and the stance of policy, through a global lens as well as a domestic one.

Figure 4 shows 10-year sovereign bond yields for New Zealand, Australia, and the US. The pink line is a global interest rate factor, or a common global interest rate trend, which we estimate from a panel of 10-year sovereign bond yields for a range of advanced economies.⁷ Yields for different countries do move independently from others from time to time – and over most of the sample period the New Zealand yield has been significantly higher than the global factor⁸ – but it is also clear from figure 4 that fluctuations in longer-term yields are usually highly correlated with this global factor. We estimate over 70 percent of the monthly change in the 10-year NZGB yield can be explained by the global factor – with this estimate increasing over time.⁹

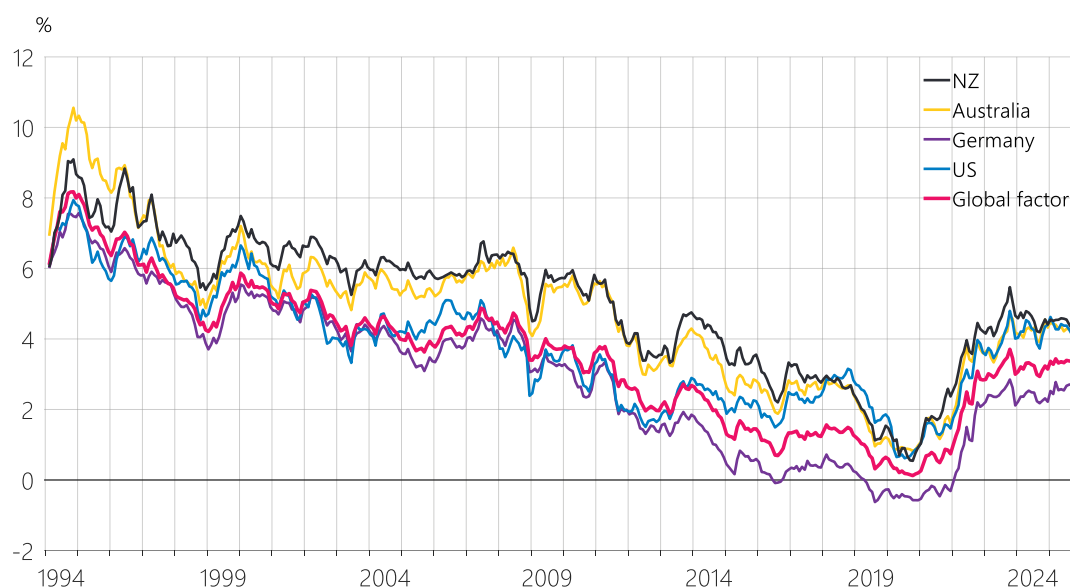
⁶ [RBNZ Monetary Policy Handbook](#)

⁷ Following [Lewis and Rosborough \(2013\)](#), the global factor is constructed using the first principal component obtained from applying principal component analysis to monthly changes in 10-year sovereign bonds for a range of advanced economies.

⁸ This reflects a combination of factors, including a liquidity premium for New Zealand markets, which tend to be small and relatively illiquid compared to core markets like the US Treasury market; lack of reserve currency status compared to the US; and other macroeconomic factors such as a generally higher policy rate (and estimated neutral rate) than other countries.

⁹ [Lewis and Rosborough \(2013\)](#) found an adjusted R-squared of 0.62 when predicting the monthly change in NZGB yields with the global factor, and idiosyncratic Australia and US factors. Estimating the model in 2025 results in an adjusted R-squared of 0.73.

Figure 4. Global 10-year sovereign yields versus global factor



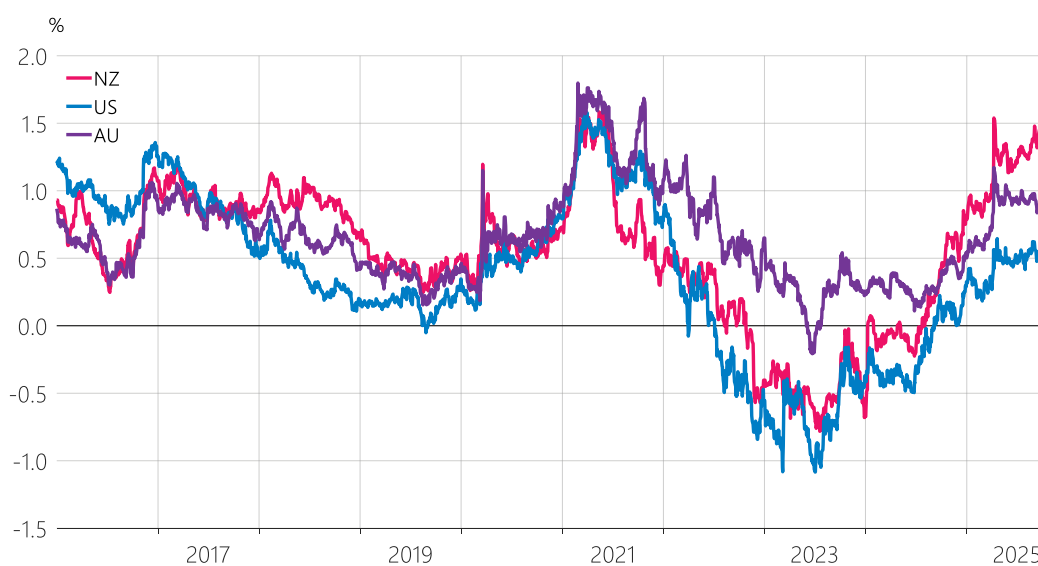
Source: Bloomberg, RBNZ, [Lewis and Rosborough \(2013\)](#)

Yield curves have steepened significantly

Since the MPC started lowering the OCR in August 2024, short-term rates have fallen by substantially more than long-term rates and as a result we have seen a sharp steepening of interest rate curves in New Zealand. As I will unpack next, the implications of a steeper yield curve for monetary policy transmission depend on the underlying drivers of that steepening trend. And, as is often the case in New Zealand, this trend needs to be understood in a global context.

Figure 5, which shows a strong correlation in the difference between 10- and 2-year New Zealand, US and Australian sovereign bond yields, provides an illustration of this global context. The yield curve steepening for New Zealand over the past year has been particularly sharp.

Figure 5. Sovereign yield curve slopes (10-year minus 2-year sovereign bond yields)

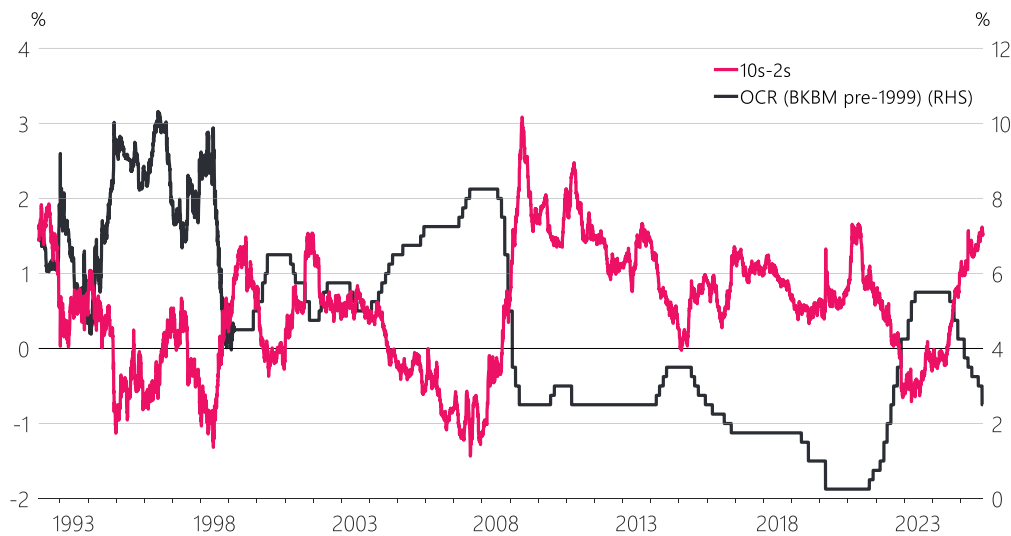


Source: Bloomberg, RBNZ

The policy implications of yield curve steepening depend on the underlying driver

It is normal for the yield curve to steepen during a policy rate cutting cycle – and it is a common pattern for New Zealand, as shown in figure 6. If financial markets believe looser monetary policy will succeed in lifting growth and inflation, then longer-term rates should fall by less than short-term rates in anticipation of a higher OCR in the future. This pattern was particularly noticeable during the GFC, and has also played out again more recently, with the NZGB yield curve steepening significantly as the OCR has been lowered from its post-pandemic high of 5.5 percent, as shown in figure 6.

Figure 6. NZGB yield curve slope (10-year minus 2-year yield) versus the policy rate

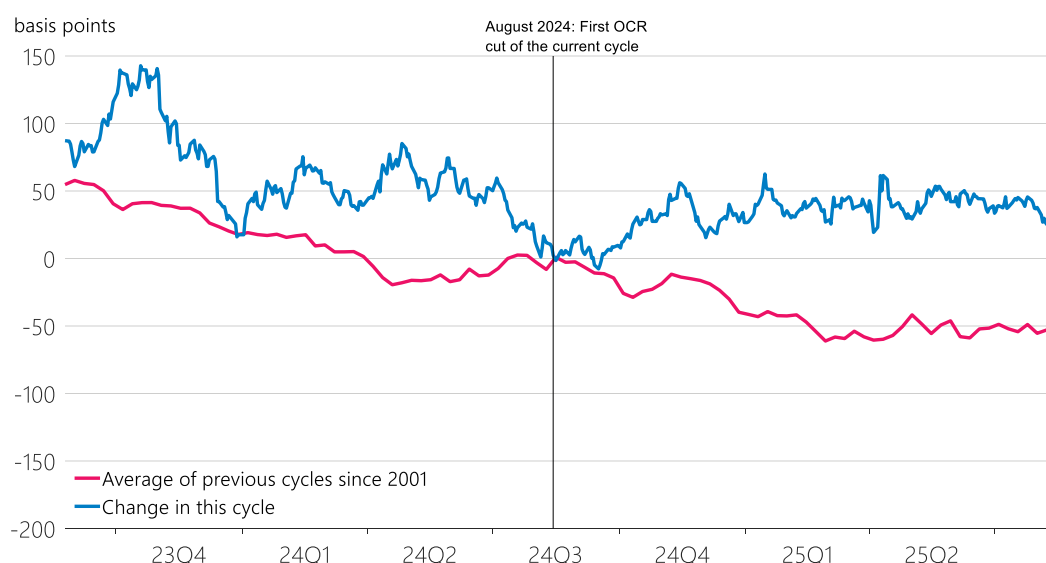


Source: LSEG, RBNZ. Data as at 21 October 2025.

Note: The 10s-2s spread is calculated from 10- and 2-year zero coupon yields obtained from fitting a Nelson Siegel Svensson yield curve model following the approach outlined in [Krippner and Thorsrud \(2009\)](#) and [Lewis \(2015\)](#).

What is less usual about these movements in the yield curve is the lack of any significant declines in longer-term interest rates, at least until more recently. As shown in figure 7, during rate cutting cycles in New Zealand since 2001, the 10-year NZGB yield has, on average, declined by around 50 basis points in the year after the first cut. This was not the case in the year since the first rate cut of this cycle, in August 2024. In fact, the 10-year yield increased by around 30 basis points over this period.

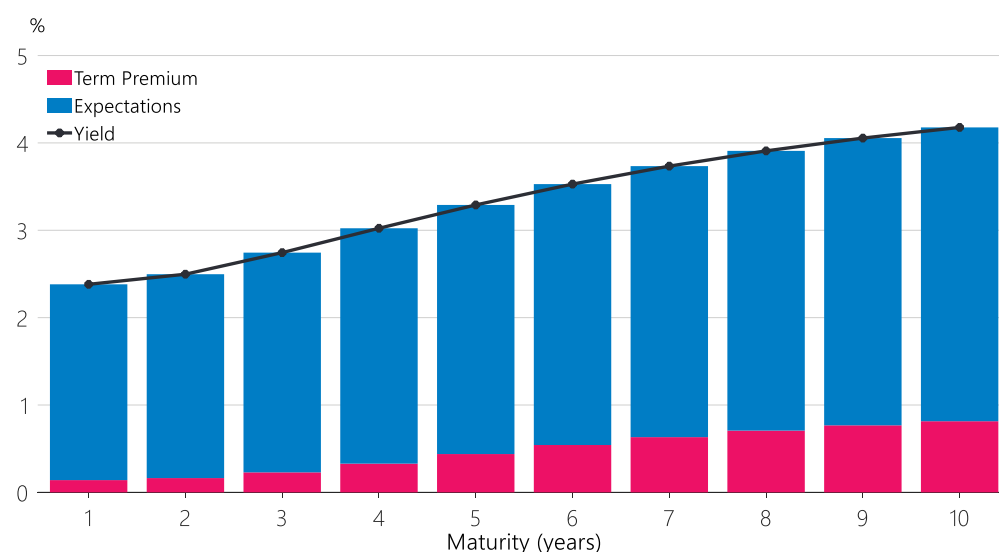
Figure 7. Change in 10-year NZGB yield before and after first OCR cut



Source: Bloomberg

Interpreting the underlying drivers of these movements in yields helps us understand how the RBNZ's monetary policy stance is influencing domestic financial conditions. The smaller declines in long-term yields compared to short-term yields may reflect expectations of future growth and inflation, which can be influenced by our monetary policy stance. Or they may reflect higher term premia amid increased global economic and geopolitical uncertainty, over which we have less control. To guide our thinking, we often find it helpful to think of a government bond yield as being made up of two separate components. The first is market expectations of the OCR over the relevant term. The second is a 'term premium' that reflects the additional return investors demand as compensation for the risk of holding longer-dated securities (figure 8).¹⁰

Figure 8. NZGB curve decomposition



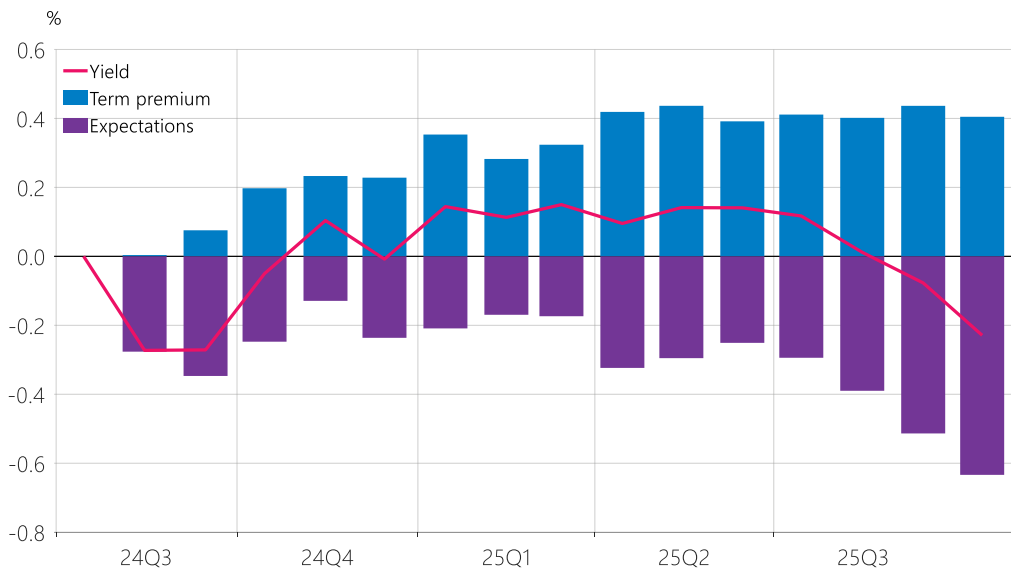
Source: LSEG, RBNZ. Data as at 21 October 2025.

Note: these are zero coupon yields and not yields to maturity.

¹⁰ See [Callaghan \(2019\)](#) for discussion in the New Zealand context.

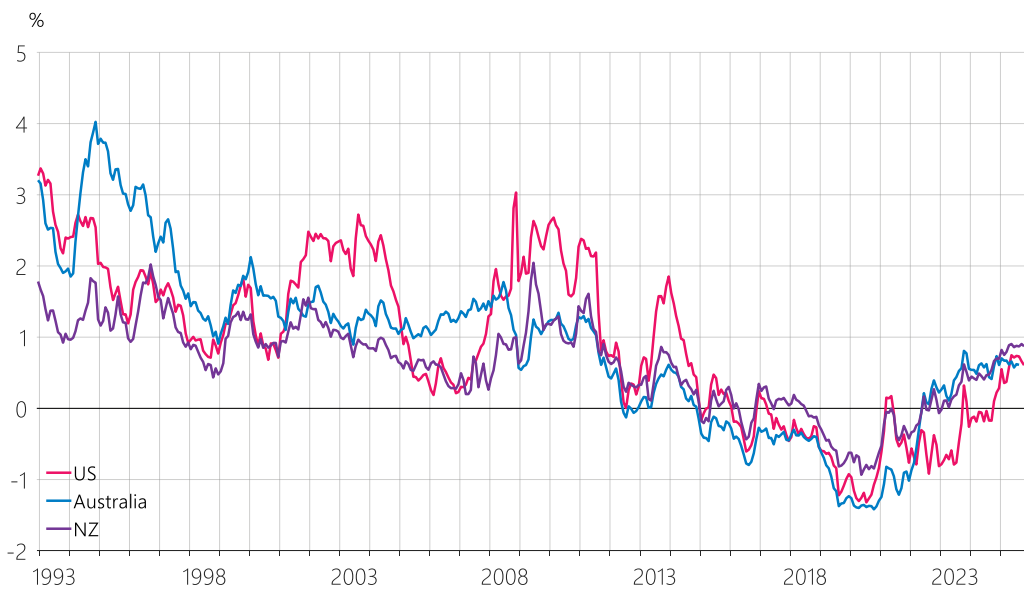
Figure 9 decomposes the change in the 10-year NZGB yield between these two components since July 2024. It shows that, until September, the increase in the term premium on the 10-year NZGB had more than offset the negative contribution from expectations for the future path of short-term interest rates, as the OCR has been cut. Figure 10 shows that term premium estimates for the US, Australia, and New Zealand over time are highly correlated, with all three having increased by around two percentage points since 2020, putting significant upward pressure on longer-term interest rates across these economies. Looking at this through a global lens, it appears likely that much of the increase in the estimated term premium for New Zealand has been driven by higher term premia in the US and other major economies.

Figure 9. Decomposition of the change in the 10-year NZGB yield since July 2024



Source: RBNZ, [Adrian et al. \(2013\)](#), [Callaghan \(2019\)](#), and [Jennison \(2017\)](#). Data as at 21 October 2025.
 Note: these are zero coupon yields and not yields to maturity.

Figure 10. Term premium estimates for 10-year sovereign bonds yields



Source: Bloomberg, Haver, RBNZ. US and NZ data as at October 2025, Australian data as at August 2025.

The implication from this analysis is that the relatively high level of long-term interest rates compared to short-term rates in New Zealand is, at least in part, due to higher term premia, not just expectations for future growth and inflation in the wake of recent interest rate cuts. The literature points to several factors that can drive the term premium on government bonds, including inflation uncertainty, implied bond market volatility, and monetary policy tools like LSAP programmes that are designed specifically to reduce the term premium.¹¹ More recently, investor concerns about the ability of markets to absorb elevated sovereign bond supply globally has also likely placed upward pressure on term premia.¹²

A steeper curve led by expectations of future growth and inflation is one thing; a steeper curve led by a higher term premium is another. Our research points to a clear difference: when steepening is driven by higher term premia, increases in the term premium may have similar effects on the economy as a negative demand shock. That is, increases in the term premium appear to reduce inflation and increase unemployment relative to an expectations-led steepening. That's why, in our monitoring, we split long rates into two parts, expected future short rates and term premia, before advising on what moves in the curve mean for inflation and activity.

None of this means we lack control of domestic financial conditions. A lot of the common movement in global interest rates reflects common economic cycles and spillovers. For example, fiscal stimulus in the US may increase US activity and therefore boost demand for New Zealand exports. At the same time, this policy would likely raise interest rates in both countries. Paired with a free-floating exchange rate, market forces can naturally help keep a lid on inflation in the face of global shocks.

Our job is to set the OCR at a level that is consistent with the financial conditions New Zealand requires and communicate the outlook clearly, so policy rate expectations align with our price stability mandate. If we see interest rate curve moves that look inconsistent with price stability, such as a term premium-driven tightening of financial conditions that unduly restrains demand, the MPC can adapt policy settings to bring financial conditions back to a level that is consistent with its mandate.

Reading global signals is therefore important for us to understand the drivers of financial conditions in New Zealand. This in turn supports our understanding of what level of the OCR will deliver the financial conditions we need to achieve MPC's remit.

Spillovers and safeguards in New Zealand bond markets

Periods of global risk aversion can also significantly impact domestic financial markets. When risk appetite sours offshore, liquidity in New Zealand financial markets can thin, and price discovery can become impaired – often quickly and without any change in the OCR. Part of our job, under the RBNZ's monetary policy and financial stability mandates, is to monitor markets for those signs of dysfunction. This allows us to assess whether the transmission of monetary policy is being impaired and evaluate possible financial stability risks. If needed, we stand ready to act. Such occasions have been rare: they have been limited to periods of severe global financial market dysfunction during the GFC and at the onset of the COVID-19 pandemic.

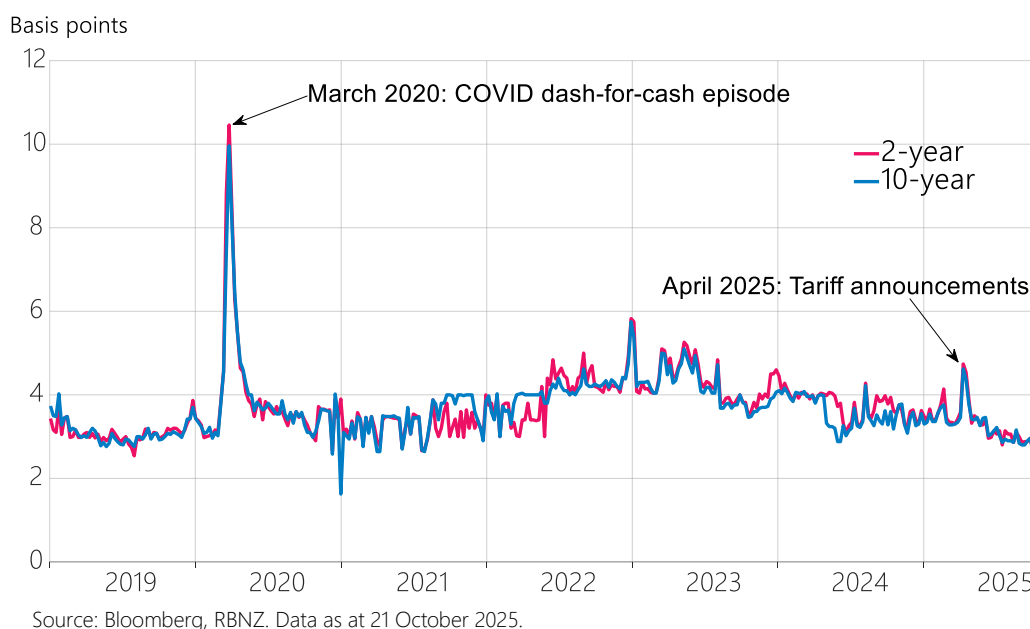
¹¹ For example, see [Kumar et al. \(2022\)](#), [Callaghan \(2019\)](#), [Adrian et al. \(2013\)](#), [RBNZ Monetary Policy Handbook](#).

¹² [Aquilina et al. \(2024\)](#), for example, argue that increased expected bond issuance is putting upward pressure on bond-swap spreads in the US, euro area, and Japan.

The ‘dash-for-cash’ episode at the onset of the COVID-19 pandemic highlighted how quickly market functioning can deteriorate.¹³ Significant selling of sovereign bonds by investors to raise cash ran up against dealer balance sheet capacity constraints, resulting in sharp deteriorations in bond market functioning. The risk of similar episodes occurring may be elevated in the current environment, where a significant net issuance of sovereign bonds is coupled with a shrinking dealer capacity relative to the size of ever-growing sovereign bond markets.¹⁴

More recently, in April, global bond markets went through a short, sharp episode of illiquidity following the announcement of broader U.S. tariffs. The shock rippled quickly through major sovereign markets as leveraged positions were unwound and market depth thinned. New Zealand was no different: we saw a brief period of reduced liquidity in NZGBs, wider bid-ask spreads, as shown in figure 11, and a rapid repricing before conditions normalised. It was a reminder that, in an interconnected system, global market stress can show up here fast.

Figure 11. Bid-ask spread on 2- and 10-year NZGBs



That April episode was brief. In the end, the announcement of a 90-day pause on the U.S. tariffs resulted in a return in bond market liquidity and no disruption to bond issuance, with core financial markets doing their job in price discovery and risk transfer. In other words, the system absorbed the shock without it having a major impact on New Zealand financial conditions.

This episode reinforces the view that, while short periods of poor market liquidity generally do not need to be met with central bank intervention, it is prudent to be ready to support market functioning, if required. However, we need to provide space for markets to self-correct, and any interventions should be limited to scenarios where the RBNZ’s policy objectives are likely to be compromised.¹⁵

If NZGB dysfunction were more persistent or threatened our objectives, we have the tools to reinforce the stance of policy we need: communication to anchor expectations; adjustments to our business as usual (BAU) liquidity operations; and, where warranted, crisis tools such as the Bond

¹³ Barone et al. (2022).

¹⁴ Duffie (2023) discusses dealer balance sheet capacity and US Treasury market functioning.

¹⁵ Silk (2024,b).

Market Liquidity Support (BMLS). These, and other tools, sit alongside the OCR to ensure the yield curve and market plumbing remain consistent with price stability and financial stability.

Conclusion

To wrap things up, I want to repeat the three key themes I have covered in this speech.

First, transmission of recent OCR cuts to financial markets is largely playing out as expected. But as with any cycle, there are some unique features that we have had to take account of when assessing the stance of monetary policy. One has been a rise in the global bond term premium putting upward pressure on domestic interest rates. The other has been the initial response of households to opt for floating or short-term fixed mortgage rates – and the subsequent reversal of this trend.

The second point is to discuss the importance of the cash-flow channel in transmission – but at the same time caution against overemphasizing this channel just because it is the easier one to observe in real time.

And finally, international factors drive a large proportion of the movement in New Zealand's interest rates. But that doesn't mean we lack control of New Zealand monetary policy. We have the tools we need to steer domestic financial conditions to levels consistent with inflation settling at 2 percent in the medium term.

Thank you.

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